

Deloitte MSME Valuation

Two-Company Data Flow Walkthrough Source, Processing and Logic at Every Step

	Company A	Company B
Type	Large — listed	Small — unlisted MSME
Example	Listed auto-components maker, ~₹800 Cr	PVC pipe maker, Surat, ~₹22 Cr
In the APIs?	Yes — D&B; + Screener have it	Largely no — thin or absent
User must give	One identifier	Description + type + size + financials
Confidence	HIGH	MEDIUM / LOW (range widened)

ONE THING TO HOLD ONTO. The company database that peers are searched from is built by you **offline**: bulk-pulled from D&B, classified once by the LLM extractor, and stored on your servers. At valuation time the LLM only builds the *target's* profile — the peer search itself is a plain query against that pre-built database, no LLM involved.

The Prerequisite — Where the Database Comes From

Built once, refreshed monthly, before any valuation

Neither company can be valued until the searchable company database exists. It is not live and it is not fetched at query time — it is constructed offline and stored on your infrastructure. Both walkthroughs that follow assume this database already exists.

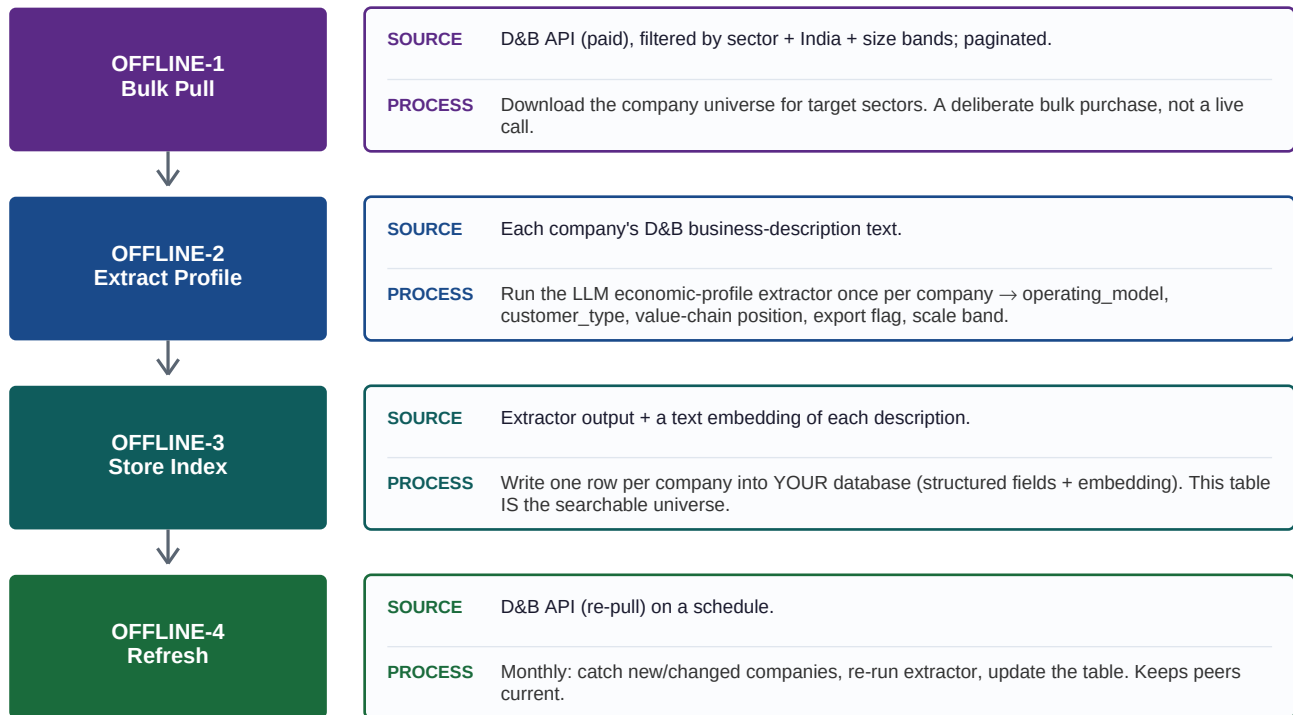


Figure 1 — Offline pipeline. Runs before and independently of any valuation. The output database is what Q-3 searches in both walkthroughs below.

Company A — Large Listed Company

APIs hold the data; user gives only an identifier

What the user gives: one identifier only — company name, DUNS, CIN, or website. Everything else is fetched.



Company A — what fed the answer

Step	External API hit?	Data origin
Q-1 Input	No	User (one identifier)
Q-2 Profile	Yes	D&B; (+ optional website). LLM classifies.
Q-3 Candidates	No	Your offline database (query)
Q-4 Filter	No	Internal rules
Q-5 Rank	No	Internal scoring
Q-6 Enrich	Yes	Screener / yfinance (peers + target)
Q-7 Valuation	No	Internal Python math
Q-8 Confidence	No	Internal formula + LLM narration

Company A takeaway: only Q-2 and Q-6 touch external APIs, and both are satisfied automatically. The user typed one identifier and never supplied a single financial figure — Screener had them.

Company B — Small Unlisted MSME

APIs are thin; user supplies the core facts

What the user gives: business name, a one-to-two sentence description, city/state, business type, size band, and the four financials (revenue, EBITDA, debt, cash). Website / CIN / GSTIN if they have them. The description and financials are the fields no API can recover.



Company B — what fed the answer

Step	External API hit?	Data origin
Q-1 Input	No	User (description + type + size + financials)
Q-2 Profile	Attempted	D&B; (thin) + website + Tofler + user text. LLM classifies mostly from user's description.
Q-3 Candidates	No	Your offline database (query)
Q-4 Filter	No	Internal rules
Q-5 Rank	No	Internal scoring (+ scale-gap flag)
Q-6 Enrich	Yes	Screener/yfinance (peers). Target financials from user, Tofler cross-check.
Q-7 Valuation	No	Internal Python (higher discount)
Q-8 Confidence	No	Internal formula + LLM narration

Company B takeaway: the peers still come from your database and their multiples still come from Screener — that part is identical to Company A. The only difference is the target side: D&B and Screener can't describe or finance this company, so the user's description and typed financials fill the gap, and the confidence score drops to reflect that.

The two flows side by side

Aspect	Company A (large listed)	Company B (small unlisted)
Q-1 input	One identifier	Description + type + size + financials
Q-2 profile from	D&B; description	User's description (+ website, Tofler)
Q-3–Q-5	Identical — search your DB, filter, rank	Identical — search your DB, filter, rank
Q-6 peer multiples	Screener / yfinance	Screener / yfinance (same)
Q-6 target financials	Screener (auto)	User-typed + Tofler cross-check
Q-7 discount	~20–25%	~30% (smaller, private)
Q-8 confidence	HIGH	MEDIUM / LOW, range widened